

City of Santa Monica
Development Impact Fees Report Pursuant to the Mitigation Fee Act
Fiscal Year Ended June 30, 2024

Affordable Housing Commercial Linkage Fee

For the purpose of compliance with Government Code subsection 66006(b)(1), the following information regarding AB 1600 fees is presented:

For each separate account or fund established pursuant to subdivision (a), the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the following information for the fiscal year:

(A) A brief description of the type of fee in the account or fund.

Affordable Housing Commercial Linkage Fee - A fee paid to the City by an applicant for approval of certain development projects to contribute to the creation of affordable housing production or preservation to offset additional need for affordable housing generated by new commercial development.

(B) The amount of the fee.

Project	Fee
Retail	\$12.79 per square foot
Office	\$14.70 per square foot
Hotel/Lodging	\$4.03 per square foot
Hospital	\$8.06 per square foot
Industrial	\$9.88 per square foot
Creative Office	\$12.58 per square foot
Medical Office	\$9.04 per square foot
Institutional	\$13.42 per square foot

(C) The beginning and ending balance of the account or fund and (D) The amount of the fees collected and the interest earned.

FISCAL YEAR	BEGINNING FUND BALANCE	FEES COLLECTED	INTEREST EARNED	EXPENDITURES	REFUNDS*	ENDING FUND BALANCE
FY 2023-24	\$ 2,322,234	61,607	52,785		106,630	\$ 2,329,996

*Refund due to COVID-19 and prior City Council Resolution.

(E) Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees. Note: The percentage will be reported upon completion of the project/s.

No expenditures were incurred during this reporting period.

F) An approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Sufficient funds are available to assist in the financing of an acquisition and rehabilitation loan beginning August 2024. The City is in the process of identifying additional eligible projects.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfers or loans were made during the fiscal year from this fund.

(H) The amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocation pursuant to subdivision (f) of Section 66001.

No refunds were made during the fiscal year pursuant to Gov. Code 66001 (e).

Affordable Housing Commercial Linkage Fee

Additional Information is being provided regarding this fee:

(1) Identification of the purpose to which the reportable fees are to be put.

The purpose of the Affordable Housing Commercial Linkage Fee is to ensure that new commercial development contributes to costs of providing affordable housing necessary as a result of commercial development (creative office space, hotel, retail and entertainment, medical, industrial/light manufacturing, institutional, and hospitals) which creates a variety of new jobs with varied degrees of compensation for workers. The addition of new workers in new commercial developments generates housing demands for households at extremely low, very low, low, and moderate incomes. New market rate housing development projects in the City have provided a disproportionate quantity of housing units that are not affordable to all income groups creating an unbalanced housing stock. Funds for construction, expansion or improvement of affordable housing, including Federal and State housing finance and subsidy programs, are not available to accommodate the needs caused by new commercial development projects.

(2) Demonstration of a reasonable relationship between the reportable fees and the purposes for which they are charged.

The Fee is based on a nexus study that demonstrates the reasonable relationship between the purpose of the Affordable Housing Commercial Linkage Fee, the fee amount, the revenue generated, and the impacts of commercial development that the proposed use of that revenue is intended to address. The Affordable Housing Commercial Linkage Fee collected from new commercial development is designed to assist in the production or preservation of affordable housing.

(3) Identification of all City sources and amounts of funding to complete financing of the projects as identified by the City.

Project	Affordable Housing Commercial Linkage Fee	Local Funds	Misc. Grants Fund
2033-2101 Virginia Avenue	\$1,000,000	\$30,072,856	\$0
Funds to be leveraged for the production or preservation of affordable housing	\$1,329,996		
Total	\$2,329,996	\$30,072,856	\$0

(4) Identification of the approximate dates on which the funding referred to in item 3 is expected to be deposited into the appropriate account or fund.

Project	Affordable Housing Commercial Linkage Fee	Local Funds	Misc. Grants Fund
2033-2101 Virginia Avenue	Funds Available	Funds Available	N/A

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Child Care Linkage Fee

For the purpose of compliance with Government Code subsection 66006(b)(1), the following information regarding AB 1600 fees is presented:

For each separate account or fund established pursuant to subdivision (a), the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the following information for the fiscal year:

(A) A brief description of the type of fee in the account or fund.

Child Care Linkage Fee - The purpose of the Child Care Linkage Fee (CCLF) imposed and collected on development of commercial projects adding floor area of at least 7,500 square feet or multi-family residential projects development within the City since fiscal year 2011-2012 is to fund property acquisition, development, and construction of child care facilities in order to create new child care spaces.

(B) The amount of the fee.

Project	Fee
Residential	\$182.67 per unit
Hotel	\$4.35 per square foot
Retail	\$6.20 per square foot
Office	\$8.67 per square foot

(C) The beginning and ending balance of the account or fund and (D) The amount of the fees collected and the interest earned.

FISCAL YEAR	BEGINNING FUND BALANCE	FEES COLLECTED	INTEREST EARNED	EXPENDITURES	REFUNDS*	ENDING FUND BALANCE
FY 2023-24	\$ 1,433,680	41,487	32,585		79,645	\$ 1,428,107

*Refund due to COVID-19 and prior City Council Resolution.

(E) Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees. Note: The percentage will be reported upon completion of the project/s.

No expenditures were incurred during this reporting period.

F) An approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

The City completed the Early Childhood Lab School Project in FY2020-21. However, the unmet need for childcare facilities created by development remains. City staff is in the process of selecting and retaining expert consultants to evaluate the landscape and potential gaps, and identify the most effective way to allocate both existing and future funds to meet current unmet needs.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfers or loans were made during the fiscal year from this fund.

(H) The amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocation pursuant to subdivision (f) of Section 66001.

No refunds were made during the fiscal year pursuant to Gov. Code 66001 (e).

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Parks and Recreation Development Impact Fee

For the purpose of compliance with Government Code subsection 66006(b)(1), the following information regarding AB 1600 fees is presented:

For each separate account or fund established pursuant to subdivision (a), the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the following information for the fiscal year:

(A) A brief description of the type of fee in the account or fund.

Parks and Recreation Development Impact Fee - The purpose of the fee is to provide a direct funding source from new residential and commercial development to be used solely for the acquisition and development of open space, parkland, and recreation facilities to meet demand generated by occupants and users of the new development.

(B) The amount of the fee.

Project	Fee
Single Family Residential	\$10,017.99
Multi-Family Residential - Studio/1 Bedroom	\$5,428.81
Multi-Family Residential - 2+ Bedrooms	\$8,744.09
Retail	\$1.96 per square foot
Office	\$3.03 per square foot
Medical Office	\$1.67 per square foot
Lodging	\$4.08 per square foot
Industrial	\$1.70 per square foot

(C) The beginning and ending balance of the account or fund and (D) The amount of the fees collected and the interest earned.

FISCAL YEAR	BEGINNING FUND BALANCE	FEES COLLECTED	INTEREST EARNED	EXPENDITURES	REFUNDS*	ENDING FUND BALANCE
FY 2023-24	\$ 6,385,590	980,302	125,165	563,375	16,345	\$ 6,911,337

*Refund due to COVID-19 and prior City Council Resolution.

(E) Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees. Note: The percentage will be reported upon completion of the project/s.

In FY 2023-24, Parks and Recreation Development Impact Fees were expended on the following public improvements:

- > \$3,269 was spent on playground equipment at Beach Park #1 - This project is ongoing
- > \$39,662 was spent on the Marine Park Basketball Court Improvement - This project was completed using 100% Parks and Recreation Development Impact Fee fund.
- > \$38,524 was spent on the Park Condition Assessment - This project is ongoing
- > \$435,999 was spent on Airport Conversion Planning - This project is ongoing
- > \$130 was spent on Marine Park Basketball Court Surface Construction - This project is ongoing
- > \$45,791 was spent on Park Improvement Program - This project is ongoing

(F) An approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

- > Memorial Park Design Services to advance the master plan expansion of the park. Design expected to begin FY2024-25.
- > Senior Design and Planning Manager to oversee the Airport Conversion Project. Allocation expected to be annual through 2028.
- > Park and Recreation Master Plan. Planning to begin FY2024-25.
- > Park Improvements and projects related to the Park Condition Assessment. Construction to begin FY2024-25.
- > Virginia Avenue Park Playground Reconstruction. Design expected to begin FY2024-25.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfers or loans were made during the fiscal year from this fund.

(H) The amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocation pursuant to subdivision (f) of Section 66001.

No refunds were made during the fiscal year pursuant to Gov. Code 66001 (e).

Parks and Recreation Development Impact Fee

Additional Information is being provided regarding this fee:

(1) Identification of the purpose to which the reportable fees are to be put.

The Parks and Recreation Development Impact Fee program ensures continued improvements and responsible expansion in parks and recreation capital facilities in the City as new growth occurs. Fee revenues are used to help fund design and construction of new parks and recreation facilities and amenities, including maintenance of existing facilities, in response to the increased demand.

(2) Demonstration of a reasonable relationship between the reportable fees and the purposes for which they are charged.

A nexus study was completed providing the necessary technical documentation to support adoption and implementation of Santa Monica's Parks and Recreation Development Impact Fee, finding that new development, whether residential or non-residential, within the City will increase the demand for and use of parks and recreation facilities. Each new development project generates increased use of the City's parks and recreation facilities by new residents, workers, and/or visitors and new revenues to fund necessary capital investments in new and existing parks and recreation facilities maintain recreation service standards.

By applying the proportionate increase in service population associated with new development to the existing service standard, and value of parks and recreation facilities, a parks and recreation capital facilities cost estimate was derived and a resulting maximum, supportable parks and recreation fee schedule was established. As a result, the fee program cost estimates are directly proportional to the relative increase in new development.

(3) Identification of all City sources and amounts of funding to complete financing of the projects as identified by the City.

Project	Park and Rec Impact Fee	Local Funds	Misc. Grants Fund
Playground Equipment at Beach Park #1	\$188,289	\$0	\$0
Douglas Park Playground Reconstruction	\$486,225	\$0	\$1,443,700
Park Condition Assessment	\$60,796	\$10,376	\$0
Airport Conversion Planning	\$1,664,001	\$0	\$0
Marine Park Basketball Court Surface Reconstruction	\$414,570	\$0	\$0
Park Improvement Program	\$204,209	\$0	\$0
Memorial Park Design	\$700,000	\$0	\$0
Senior Design and Planning Manager	\$888,000	\$0	\$0
Park and Recreation Master Plan	\$450,000	\$0	\$0
Park Improvement Program	\$250,000	\$0	\$0
Virginia Ave Playground Reconstruction	\$1,000,000	\$0	\$1,100,000
Funds to be leveraged for design and construction of park amenities	\$605,247	\$0	\$0
Total	\$6,911,337	\$10,376	\$2,543,700

(4) Identification of the approximate dates on which the funding referred to in item 3 is expected to be deposited into the appropriate account or fund.

Project	Park and Rec Impact Fee	Local Funds	Misc. Grants Fund
Playground Equipment at Beach Park #1	Funds Available	NA	NA
Douglas Park Playground Reconstruction	Funds Available	NA	Funds Available
Park Condition Assessment	Funds Available	Funds Available	NA
Airport Conversion Planning	Funds Available	NA	NA
Marine Park Basketball Court Surface Reconstruction	Funds Available	NA	NA
Park Improvement Program	Funds Available	NA	NA
Memorial Park Design	Funds Available	NA	NA
Senior Design and planning manager	Funds Available	NA	NA
Park and recreation master plan	Funds Available	NA	NA
Park Improvement Program	Funds Available	NA	NA
Virginia Ave Playground Reconstruction	Funds Available	NA	Fund Available
Funds to be leveraged for design and construction of	Fund Available	NA	NA

City of Santa Monica

Development Impact Fees Report Pursuant to the Mitigation Fee Act

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Transportation Impact Fee

For the purpose of compliance with Government Code subsection 66006(b)(1), the following information regarding AB 1600 fees is presented:

For each separate account or fund established pursuant to subdivision (a), the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the following information for the fiscal year:

(A) A brief description of the type of fee in the account or fund.

Transportation Impact Fee - The City Council adopted an ordinance on February 26, 2013 that established a Transportation Impact Fee for new development and intensified land uses that will fund transportation network improvements such as new sidewalks, crosswalks, traffic signal upgrades, bus stops, transportation demand management, and bicycle facilities that are necessitated by the new trips associated with the land use change. The fees are based on a nexus study and calculated using residential units or commercial square footage and are increased annually by Construction Cost Index. Due to California State Assembly Bill No. 602 passed in 2021 the fee is no longer charged prior to issuance of building permits, but rather at the issuance of a certificate of occupancy. The Transportation Impact Fee reflects the costs associated with transportation network improvements and the amount of new auto trips that can be attributed to land use changes.

(B) The amount of the fee.

Project	Fee
Residential (dwelling unit)	
Single Family, Area 1	\$10,387.10 per unit
Single Family, Area 2	\$10,660.44 per unit
Multi-Family, Area 1	\$3,553.48 per unit
Multi-Family, Area 2	\$4,510.19 per unit
Multi-Family, Area 3	\$3,554.01 per unit
Non-Residential (sq. ft.)	
Retail, Area 1	\$28.71 per square foot
Retail, Area 2	\$41.13 per square foot
Office, Area 1	\$13.26 per square foot
Office, Area 2	\$14.76 per square foot
Medical Office, Area 1	\$38.40 per square foot
Medical Office, Area 2	\$40.73 per square foot
Hospital, Area 1	N/A
Hospital, Area 2	\$20.09 per square foot
Lodging, Area 1	\$4.91 per square foot
Lodging, Area 2	\$4.91 per square foot
Industrial, Area 1	\$1.63 per square foot
Industrial, Area 2	\$1.79 per square foot
Auto Sales and Display Areas, Area 1	\$1.63 per square foot
Auto Sales and Display Areas, Area 2	\$1.79 per square foot

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Transportation Impact Fee

(C) The beginning and ending balance of the account or fund and (D) The amount of the fees collected and the interest earned.

FISCAL YEAR	BEGINNING FUND BALANCE	FEES COLLECTED	INTEREST EARNED	EXPENDITURES	REFUNDS*	ENDING FUND BALANCE
FY 2023-24	\$ 11,807,237	391,442	72,725	3,548,805	342,947	\$ 8,379,652

*Refund due to COVID-19 and prior City Council Resolution.

(E) Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees. Note: The percentage will be reported upon completion of the project/s.

In FY 2023-24, \$3,548,805 of TIF funds were expended on capital improvement project delivery, including tools to analyze crash reports to determine safety countermeasures, project design, right of way, required studies, prevailing wage monitoring, utility coordination, construction management and engineering support services, and construction to implement Vision Zero improvements associated with the following projects:

- > 4th St Enhancements – Expo Linkages, Phase 2: \$493,751
- > Michigan Ave Greenway / 20th St Bike Connection: \$755,785
- > Pico Blvd / SMC Pedestrian Safety Improvements: \$4,831
- > Multimodal Signal Detection: \$24,529
- > Wilshire Blvd Safety Improvements, Ocean Ave Protected Bikeway, Crosswalk Improvements: \$2,269,779
- > Safe Routes at Four Schools: \$130

F) An approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Project Name	Project Progress
Michigan Avenue Greenway 20th Street Bike Connection	Ongoing
4th Street Enhancements - Expo Linkages, Phase 2	Ongoing
Pearl Street Preliminary Design	FY25-26
Citywide Vision Zero Improvements via Annual Repaving Project (Wilshire Boulevard Safety Improvements - Phase 1, Ocean Avenue Protected Bikeway, Crosswalk Renewal Program, Vision Zero Priority Intersections)	Ongoing
Broadway Protected Bikeway - 5th Street to 26th Street	Ongoing
Safe Routes to School - 6-Schools Pedestrian Safety Improvements	FY24-25
Olympic Blvd First/Last Mile Improvements to Bergamot Station	FY23-24
Wilshire Boulevard Safety Improvements - Phase 2	FY24-25
Stewart-Pennsylvania Safety Enhancement Project	FY23-24
Santa Monica Blvd Safety Improvements	FY24-25

In FY 2023-2024, approximately \$3.3 million of TIF funds is programmed to implement various roadway safety measures including Safe Routes to School – Pedestrian Improvements at Six Schools; various protected bikeways including extending the Broadway protected bikeway, Stewart Street safety enhancements, Olympic Blvd/26th Street First Last Mile Connections and the priority projects identified in the Bike Action Plan Amendment; the Santa Monica Blvd Safety Study; and completion of 4th Street Enhancements and Michigan Avenue Greenway/20th Street Connection. In FY 2024-25, approximately \$1.9 million will be programmed to planning and/or construction of the Broadway protected bikeway and Wilshire Blvd Safety Improvements Phase 2. Finally, funds are reserved annually for salary of the construction manager position responsible for overseeing these projects and Transportation Engineering support.

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Transportation Impact Fee

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

Two interfund transfers were made during the FY 23-24 for Construction Management and Transportation Engineering support services of TIF funded projects:

>Transportation Engineering support: \$16,966

>Construction Management support: \$7,562

(H) The amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocation pursuant to subdivision (f) of Section 66001.

No refunds were made during the fiscal year pursuant to Gov. Code 66001 (e).

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Water Demand Mitigation Fee

For the purpose of compliance with Government Code subsection 66006(b)(1), the following information regarding AB 1600 fees is presented:

For each separate account or fund established pursuant to subdivision (a), the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the following information for the fiscal year:

(A) A brief description of the type of fee in the account or fund.

The Water Demand Mitigation Fee - A one-time fee the City charges new development to mitigate the total daily water consumption rate projected for the development. The total daily water demand for the project is calculated using standard water demand factors which have been developed by City staff. The water demand mitigation fee is set at \$3.00 for each gallon of daily water demand which must be mitigated. Effective, July 1, 2017, the Water Demand Mitigation Fee was replaced with the Water Neutrality Fee. The City will continue to collect Water Demand Mitigation revenues for permit applications submitted prior to July 1, 2017 with the following exception: Any new development applications for a building permit filed on or before November 27, 2018, that only results in a change of use of less than 6,000 square feet and/or an addition of less than 1,500 square feet, will be required to pay the water demand mitigation fee in effect as of November 27, 2018.

This fee is required when:

- Single-Family Residence -- for construction of a new residence or whenever adding 50% or greater to the square footage.
- Multi-Family -- for construction of a new building or whenever new units are added.
- Non-Residential -- for construction of a new building or whenever there is a change of use, changing or adding plumbing fixtures, or adding restaurant seats or square footage.

(B) The amount of the fee.

Project	Fee
Single-Family	\$990.00
Multi-Family (condominium fees same as apartments):	
Studio/Single Apartment:	\$315.00
1 Bedroom Apartment:	\$375.00
2 Bedroom Apartment:	\$570.00
3 Bedroom Apartment:	\$750.00
Duplex (2 Apartments):	\$900.00
Non-Residential:	To be determined by the Civil Engineering Plan Checker

(C) The beginning and ending balance of the account or fund and (D) The amount of the fees collected and the interest earned.

FISCAL YEAR	BEGINNING FUND BALANCE	FEES COLLECTED	INTEREST EARNED	EXPENDITURES	ENDING FUND BALANCE
FY 2023-24	\$ 320,342	0	0	63,778	\$ 256,564

(E) Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees. Note: The percentage will be reported upon completion of the project/s.

In FY 2023-24, \$63,778 of Water Demand Mitigation Fees were expended on the Recycled Water Main Expansion Project.

F) An approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

\$1,127,540 was appropriated to the Recycled Water Main Expansion Project. Construction began December 2020 and is expected to be completed mid 2025.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfers or loans were made during the fiscal year from this fund.

(H) The amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocation pursuant to subdivision (f) of Section 66001.

No refunds were made during the fiscal year pursuant to Gov. Code 66001 (e).